

If you're expecting a refund, send in your tax forms to the IRS as soon after January 1 as possible so that you can get your refund fast. If you owe money, though, and you want to hang on to your cash as long as possible (the idea being you'll get more interest), wait until close to the deadline. Your return will still be on time if you either file electronically by April 15 or if your paper tax return and check are postmarked by that date.

If you are in fact going the paper route and simply can't get it together in time, you can file for an automatic six-month extension by filling out Form 4868 and submitting your full tax forms later. But if you think you owe money, you must estimate how much you owe and still send in a check to the IRS by April 15. If you haven't sent all that you owe by April 15, the IRS might charge you interest on the unpaid amount, plus a penalty if you've paid less than 90% of the amount due.

A NOTE TO STUDENTS

Scholarships that pay for tuition, course-related fees, books, and supplies are not considered taxable income if you're working toward a degree. But if you received a scholarship to, say, study abroad for a year, and the course work is not related to your getting a degree, you must count the money you receive as income. And whether you're working toward a degree or not, the portion of a scholarship used to pay for room and board, travel, and research is considered taxable income. For details go to www.irs.gov and search for either Tax Topic 421, *Scholarship and Fellowship Grants*, or Publication 970, *Tax Benefits for Education*.

If You Can't Pay

Even if you don't have enough money to pay the IRS the tax you owe, you should file your return by April 15. If you don't, you'll be charged a monthly penalty of 4% of the amount of tax you owe, up to a maximum penalty of 25% of your total IRS debt. You'll also have to pay interest. You can request to pay in installments, however, so go to www.irs.gov and find Form 9465. You can print it and send it in with your completed return, or